

MINDTECK (INDIA) LIMITED
16/3, CAMBRIDGE ROAD, ULSOOR, BANGALORE 560 008
UNAUDITED CONSOLIDATED FINANCIAL RESULTS FOR THE QUARTER AND NINE MONTHS ENDED DECEMBER 31, 2011

(Rs in lacs, except as otherwise stated)

Particulars	Quarter ended			Nine months ended		Year ended
	31-Dec-2011	30-Sep-2011	31-Dec-2010	31-Dec-2011	31-Dec-2010	31-Mar-2011
	Unaudited	Unaudited	Unaudited	Unaudited	Unaudited	Audited
1 Income from operations*	5,504.97	5,732.76	5,679.57	16,488.13	18,940.13	24,086.70
2 Foreign exchange gain, net	-	-	-	-	20.81	36.28
3 Expenditure						
a) Employees cost	4,706.73	4,893.45	4,802.74	14,236.43	15,835.37	20,313.55
b) Depreciation including amortisation	38.80	43.73	57.88	132.18	177.65	238.47
c) Rent (Note 3)	173.60	168.23	185.52	513.18	546.18	719.95
d) Foreign exchange loss, net	255.53	239.00	14.14	479.05	-	-
e) Other expenditure	559.17	521.07	446.83	1,484.89	1,522.35	1,968.71
f) Total	5,733.83	5,865.48	5,507.11	16,845.73	18,081.55	23,240.68
4 (Loss)/profit from operations before other income, interest and exceptional items (1 + 2 - 3)	(228.86)	(132.72)	172.46	(357.60)	879.39	882.30
5 Other income (Note 3)	12.69	13.21	91.25	33.75	249.78	293.58
6 (Loss)/profit before interest and exceptional items (4 + 5)	(216.17)	(119.51)	263.71	(323.85)	1,129.17	1,175.88
7 Interest	5.68	8.58	7.36	23.75	26.44	37.52
8 (Loss)/profit after interest but before exceptional items (6 - 7)	(221.85)	(128.09)	256.35	(347.60)	1,102.73	1,138.36
9 Exceptional items	-	-	-	-	-	-
10 (Loss)/profit from ordinary activities before tax (8 + 9)	(221.85)	(128.09)	256.35	(347.60)	1,102.73	1,138.36
11 Tax expense (Note 7)	27.38	(37.19)	75.94	16.75	191.08	223.96
12 Net (loss)/profit from ordinary activities after tax (10 - 11)	(249.23)	(90.90)	180.41	(364.35)	911.65	914.40
13 Extraordinary items	-	-	-	-	-	-
14 Net (loss)/profit for the period (12 - 13)	(249.23)	(90.90)	180.41	(364.35)	911.65	914.40
15 Paid-up equity share capital (face value of Rs. 10 each) (Note 4 & 5)	2,445.25	2,434.96	2,434.86	2,445.25	2,434.86	2,434.96
16 Reserves	10,346.96	10,286.02	10,151.11	10,346.96	10,151.11	10,183.69
17 Earnings per share (EPS) (Note 4, 5 & 6)						
Basic EPS (in Rs.)	(1.02)	(0.37)	0.74	(1.49)	3.74	3.76
Diluted EPS (in Rs.)	(1.02)	(0.37)	0.73	(1.49)	3.70	3.71
18 Public shareholding (Note 4 & 5)						
Number of shares	8,698,615	8,595,736	8,594,736	8,698,615	8,594,736	8,595,736
Percentage of shareholding	34.98	34.71	34.71	34.98	34.71	34.71
19 Promoters and promoter group shareholding						
a) Pledged/Encumbered						
- Number of shares	Nil	Nil	Nil	Nil	Nil	Nil
- Percentage of shares (as a % of the total shareholding of promoter and promoter group)	Nil	Nil	Nil	Nil	Nil	Nil
- Percentage of shares (as a % of the total share capital of the company)	Nil	Nil	Nil	Nil	Nil	Nil
b) Non-encumbered (Note 4 & 5)						
- Number of shares	16,169,857	16,169,857	16,169,857	16,169,857	16,169,857	16,169,857
- Percentage of shares (as a % of the total shareholding of promoter and promoter group)	100.00	100.00	100.00	100.00	100.00	100.00
- Percentage of shares (as a % of the total share capital of the company)	65.02	65.29	65.29	65.02	65.29	65.29

Notes to consolidated financial results for the quarter and nine months ended December 31, 2011

- The above unaudited financial results of the Company have been reviewed by the Audit Committee and thereafter approved by the Board of Directors in their meeting held on February 2, 2012. The Company's Statutory Auditors have carried out a limited review of the unaudited financial results for the quarter and nine months ended December 31, 2011, pursuant to Clause 41 of the Listing Agreement. An unqualified report has been issued by them thereon.
- The above unaudited consolidated financial results of the Company include the financial results of its wholly owned subsidiaries (including step subsidiaries)- Mindteck Inc., Mindteck Singapore Pte Ltd., Mindteck UK Ltd., Mindteck Netherlands B.V., Mindteck Germany GmbH, Mindteck Middle East Ltd. SPC., Mindteck Software Malaysia Sdn Bhd and Chendle Holdings Ltd.
- The Company has taken certain premises on lease for its operations. Out of these premises, the Company had subleased its premises at Washington, USA. The rental income aggregating Rs 3.62 lacs for the quarter and Rs 10.82 lacs for the nine months ended (corresponding previous year quarter and nine months ended NIL) has been reduced from the expenditure incurred on rent.
- The Company has consolidated the financial statements of the Mindteck Employees Welfare Trust ('the Trust') with that of its standalone financial statements to comply with the requirements of SEBI (ESOS and ESPS) Guidelines 1999. As a result, the Company's paid up equity shares stand reduced by 416,000 shares as on December 31, 2011. To give effect to the consolidation of the Trust, Rs 41.6 lacs has been reduced from equity share capital, Rs 362.4 lacs has been reduced from securities premium account and Rs 15.83 lacs has been adjusted in reserves. The shares held by the Trust were reduced from outstanding number of shares for computation of basic and diluted EPS of the Company. However, these shares have been included in public share holding in the above statement.
- During the quarter ended December 31, 2011, the Company vide its board meeting dated October 4, 2011 allotted 102,879 equity shares to the shareholders of Chendle Holdings out of 270,056 equity shares reserved for issuance. The shares were issued at Rs 73.54 per share which includes a premium of Rs 63.54 per share (face value of Rs 10 per share).
- The potential dilutive equity shares had an effect of reducing the basic earning per share (loss per share) and hence are considered to be anti-dilutive in nature.
- Tax expense for the nine months ended December 31, 2010 includes Minimum Alternative Tax credit of Rs 113.24 lacs, netted off with the tax charge for the period.
- As on December 31, 2011, the Company has outstanding forward exchange contracts for hedging future export against the associated currency rate risks. The Mark-to-Market (MTM) losses on such forward contract as on December 31, 2011 stood at Rs 370.79 lakhs (corresponding previous year nine months ended December 31, 2010 gain of Rs 31.14 lakhs)

(Rs in lacs, except as otherwise stated)

Particulars	Quarter ended			Nine months ended		Year ended
	31-Dec-2011	30-Sep-2011	31-Dec-2010	31-Dec-2011	31-Dec-2010	31-Mar-2011
	Unaudited	Unaudited	Unaudited	Unaudited	Unaudited	Audited
Revenues	1,495.59	1,425.25	1,296.54	4,255.79	4,108.51	5,420.95
(Loss)/profit before tax and exceptional items	(53.05)	(112.27)	108.83	(100.24)	470.15	587.35
(Loss)/profit after tax and exceptional items	(65.94)	(74.74)	77.29	(107.74)	468.94	572.22

10 Segmental reporting (Consolidated - unaudited)

The Mindteck Group's operations predominantly relate to providing software services to external customers and providing IT-enabled services to consolidated subsidiaries within the Group. The Group considers business segment as the primary segment and geographical segment based on the location of customers as the secondary segment.

Since IT-enabled services are rendered to subsidiaries which are consolidated, the disclosure of a separate IT-enabled services segment as a separate primary segment is not applicable. The group is therefore considered to constitute a single primary business segment and accordingly segment disclosures have been presented as under:

The accounting principles consistently used in the preparation of the consolidated financial statements are also consistently applied to record income and expenditure in the individual segments.

(Rs in lacs, except as otherwise stated)

Revenue	Quarter ended			Nine months ended		Year ended
	31-Dec-2011	30-Sep-2011	31-Dec-2010	31-Dec-2011	31-Dec-2010	31-Mar-2011
	Unaudited	Unaudited	Unaudited	Unaudited	Unaudited	Audited
- USA	4,623.30	4,564.81	4,842.08	13,564.05	16,382.36	20,697.36
- India	37.40	37.78	4.31	104.10	134.58	141.08
- Rest of the world	844.27	1,130.17	833.18	2,819.98	2,423.19	3,248.26
Total	5,504.97	5,732.76	5,679.57	16,488.13	18,940.13	24,086.70

11 Information on investor complaints pursuant to Clause 41 of the Listing Agreement for the quarter ended December 31, 2011:

Nature of Investor complaints	Opening balance	Additions	Disposal	Closing balance
Non-receipt of dividend warrant and annual report	Nil	1	1	Nil

12 Previous period figures have been reclassified/ regrouped wherever necessary.

For and on behalf of the Board of Directors,


Pankaj Agarwal
Managing Director & CEO

Place : Bangalore
Date : February 2, 2012